

Paid Time Off and Leave Policy

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1. Purpose and Scope

This policy describes paid time off (PTO), sick leave, and other leaves of absence available to Kai Components retail associates and store leadership across all Hawaiian island store locations. It applies to regular full-time and part-time employees. Seasonal and temporary employees are not eligible for PTO accrual.

2. PTO Accrual

Full-time retail associates accrue paid time off based on length of continuous service, as shown in the table below. PTO accrues each pay period and may be used for vacation, personal time, or unplanned absences.

Part-time associates who work at least 20 hours per week accrue PTO at 50 percent of the full-time rate for their service tier.

Years of Service	Annual PTO (Full-Time)	Accrual per Pay Period
0 to 2 years	15 days (120 hours)	4.62 hours
3 to 4 years	20 days (160 hours)	6.15 hours
5+ years	25 days (200 hours)	7.69 hours

3. Carryover and Payout

Employees may carry over a maximum of 40 hours of unused PTO into the following calendar year. Any balance above 40 hours on December 31 is forfeited. Upon voluntary separation with two weeks notice, accrued and unused PTO up to 80 hours is paid out in the final paycheck.

4. Sick Leave

In addition to PTO, full-time employees receive 7 paid sick days (56 hours) per calendar year, available on the first day of employment. Sick leave does not carry over and is not paid out at separation. A doctor's note is required for absences of three or more consecutive scheduled shifts.

5. Parental and Family Leave

Eligible employees receive 12 weeks of paid parental leave following the birth, adoption, or foster placement of a child, paid at 100 percent of base pay. To be eligible an employee must have completed 12 months of continuous service. Parental leave runs concurrently with any leave available under the federal Family and Medical Leave Act.

6. Bereavement Leave

Employees may take up to 5 paid days of bereavement leave for the death of an immediate family member, and up to 2 paid days for an extended family member. Additional unpaid time may be arranged with store leadership.